IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH - II, CHENNAI

CP(CAA)/73(CHE)2021 in CA(CAA)/824(CHE)2020

Under Sections 230 To 232 Of the Companies Act, 2013

IN THE MATTER OF SCHEME OF ARRANGEMENT

BETWEEN

M/S. ACCESS MATRIX TECHNOLOGIES PRIVATE LIMITED

... Demerged company

AND

M/S. WOLTERS KLUWER ELM SOLUTIONS PRIVATE LIMITED

... Resulting company

And

Their Respective Shareholders and Creditors

Order Pronounced on ***10th June 2022***

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Justice (Retd) S. RAMATHILAGAM, MEMBER (JUDICIAL)

ANIL KUMAR B, MEMBER (TECHNICAL)

For Petitioner(s) : I.B. Harikrishna, PCS

ORDER

Per: **Justice (Retd) S. RAMATHILAGAM, MEMBER (JUDICIAL)**

Under consideration is a Company Petition which has been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Arrangement, as contemplated between the Petitioner Companies viz. **M/s. ACCESS MATRIX**

TECHNOLOGIES PRIVATE LIMITED *(hereinafter referred to as "First Petitioner/ Demerged Company")* and **M/s. WOLTERS KLUWER ELM SOLUTIONS PRIVATE LIMITED** *(hereinafter referred to as " Second Petitioner / Resulting Company")* under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 (for brevity 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') pursuant to the Scheme of Arrangement (hereinafter referred to as the 'SCHEME') proposed between the Companies and the said Scheme is also commonly annexed as Annexure 'I' to the typed set filed along with the Petition.

2. Upon this Scheme coming into effect, the Demerged Business Undertaking i.e., AutoDeal Dealer Management System related business *(with dealers of Ford India Private Limited and Hindustan Motors Finance Corporation Limited)* of the First Petitioner / Demerged Company shall without any further act, instrument or deed, be and stand demerged with, transferred to and vested in or be deemed to be transferred to and vested in the Second Petitioner /Resulting Company, as a going concern, so as to vest in the Resulting Company, all the rights, titles and interests pertaining to the Demerged Business Undertaking of the Demerged Company pursuant to the provisions of Sections 230 to 232 of the Act and pursuant to the orders of the jurisdictional Tribunal(s) sanctioning

this Scheme.

3. The Rationale and benefits of the Scheme as submitted by the Petitioner companies are as follows;

i. offer enhanced strategic flexibility, focus and opportunities to the respective managements of the Demerged Company and Resulting Company thereby facilitating the separate managements to vigorously pursue growth and expansion opportunities.

ii. simplifying and streamlining of activities which are ancillary to each other's businesses and a consequential reduction in management time and efforts.

iii. The demerger will allow the shareholders of the Demerged Company to expand their business interests in the Demerged Business Undertaking (as defined in Clause 1.6 of Part I the Scheme) by consolidating the same with the Resulting Company. The said consolidation will widen the markets and expertise.

iv. The demerger will enable the investors/ shareholders to separately hold investments which best suit their investment strategies and risk profiles.

v. Enable the management of Demerged Company to evaluate the performance of Remaining Business (as defined in Clause 1.12 of Part I the Scheme) on an independent basis.

vi. Pursuant to the transfer of Demerged Business Undertaking, the Resulting Company will have enhanced shareholder's value accruing from consolidation of the business operations resulting in economies of scale, operational efficiency, integration of processes and optimized cash flows, access to varied sources of funds, thus contributing to the overall growth prospects of the Resulting Company.

vii. The Scheme would be in the best interest of the shareholders of the Demerged Company and the Resulting Company and shall not in any manner be prejudicial to the interests of the concerned shareholders and creditors or general public at large.

4. The Petitioner Companies have filed the First Motion Application vide CA/824/CAA/2020 seeking for dispensing with the requirement of convening the meeting of the Equity Shareholders in relation to the First and Second applicant companies and dispensing the meeting of Preference shareholders of the First applicant company and dispensing the meeting of Unsecured Creditors of the First applicant and Second applicant companies and based on such application moved under Sections 230-232 of the Companies Act, 2013, directions were issued by this Tribunal, vide order dated 17.11.2021. Subsequent to the said order, the second motion petition was filed before this Tribunal by the petitioner companies on 08.12.2021 for sanction of the Scheme of Arrangement before this Tribunal.

5. This Tribunal vide order dated 03.02.2022 has directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz (a) Central Government through the office of the Regional Director (Southern Region), Ministry of Corporate Affairs (MCA) , (b) Registrar of Companies, Chennai, MCA (c) the Income Tax Department of the office having jurisdiction over the respective Companies indicating specifically their PAN Nos in their communications, (d) Official Liquidator, other sectoral regulators, if any as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Makkal Kural" Tamil (Tamil Nadu Edition).

6. In compliance of the same, the Petitioner Companies have filed an affidavit of service on 02-03-2022 in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have effected the paper publication as directed by the Tribunal in one issue of "Business Standard" (All India Edition) in English and "Makkal Kural" (Tamil Nadu Edition) in Tamil on 21.02.2022. Further notices have been also served to (i) The Regional Director, Southern Region, Chennai on 09.02.2022, (ii) Registrar of Companies Chennai on 09.02.2022, (iii) Deputy Commissioner, Income Tax Department on 09.02.2022, (iv) Reserve Bank Of India on 09.02.2022 and the

proof of the same acknowledgements/receipts have also been enclosed.

7. The Regional Director, (for brevity 'RD') Chennai to whom the notice was issued, has filed his Report before this Tribunal and has stated that Clause 7 of Part II of the Scheme provides for the protection of the interest of the employees / staff / executives / workmen of the Demerged Company. It was further observed vide para 3 of the Report that as per clause 1.2 of part 1 of the scheme, the appointed date is 01.06.2019 it is ante dated beyond a year and is not in accordance with sec 232(6) of the Companies Act, 2013 for that the Company has filed a Memo with the Tribunal on 30th March, 2022 and the said memo is taken on record. It was further observed that as per the report of RoC, Chennai, the Demerged Company and the Resulting Company are regular in filing their statutory returns and has reported that there is no prosecution / Inspection or Investigation is pending against the Companies. Thus, the Regional Director, after examining the Scheme has decided not to make any objection to the Scheme.

8. Despite notice being served, there is no representation from the Department of Income Tax and in the circumstances, this Tribunal presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

9. In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."*

10. The Petitioner Companies has complied with proviso to Section 230 (7) / Section 232 (3) by filing the certificate of the Company's Auditor in relation to compliance with the Accounting Standards, the applicable Accounting Standards notified by the Central Government and Section 2(43) of the Companies Act, 2013 and the rules framed thereunder.

11. The Petitioner companies have submitted that no investigation proceedings are pending against them under the provisions of the

Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

12. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Annexure "I" with the Company Petition as well as the prayer made therein.

13. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

14. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

THIS TRIBUNAL DO FURTHER ORDER:

a. That all properties, rights and powers of Demerged Business Undertaking be transferred without further act or deed to Resulting Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Resulting Company for all intents, purposes and interest of the Demerged Business Undertaking subject nevertheless to all changes now affecting the same; and

b. That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged Business Undertaking shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Resulting Company and accordingly the same become the liabilities and duties of the Resulting Company; and

c. That all proceedings now pending by or against the Demerged Business Undertaking shall be continued by or against the Resulting Company; and

d. That all the services of all the employees of the Demerged Company employed in the Demerged Business Undertaking shall stand transferred to the Resulting Company on the same terms and conditions at which these employees are engaged by the Demerged Company without any interruption of service as a result of the transfer; and

e. That upon the Scheme coming into effect, the Resulting Company shall, without any further application or deed, issue and allot `1 (One) fully paid up Equity Shares of INR

10/- each of Wolters Kluwer ELM Solutions Private Limited to the shareholders of Access Matrix Technologies Private Limited, for every 1,00,000 (One lakh) fully paid up equity shares and 35,714 (Thirty-Five Thousand Seven Hundred and Fourteen) compulsory convertible preference shares held by them in Access Matrix Technologies Private Limited'

f. That the Appointed date for the Scheme is **1st June 2019;** and

g. That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged undertaking shall be deemed to be transferred; and

h. That any person Interested in the Scheme, shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

15. Accordingly, the Company Petitions stand ***allowed.***

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ANIL KUMAR B
MEMBER (TECHNICAL)

-SD-

Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)